

Article | 19 August 2026

RATES SPARK

Rates Spark: The Treasury's plan for the back end

It's clear that the US Treasury is ready to place a limit to the upside for longer-dated yields. The impact of the increased buybacks is not so much on the doubling of them in long dates, but more so on the implied reality that they could be doubled again, and again if needed. But given what we have now, and until then, upward pressure on long yields will remain



With the US Treasury doubling the buybacks of long-dated bonds, there is the possibility they could do it again and again

As noted [here](#), the Treasury's decision to increase buybacks in longer durations smacks of discomfort with the sell-off seen in longer tenor Treasury securities of late. It's been impactful, with the 10-30-year yields down 5-10bp to begin with. The official genesis of the buyback programme, back in May 2024, was to bolster liquidity, and indeed, that was the rationale employed to explain away the announced doubling of buyback sizes in the 10yr to 30yr maturities. If we annualise the quarterly rhythm, that nets an additional US\$18bn of buybacks through these tenors. That stretches the buyback programme from US\$38bn to US\$56bn (of which US\$36bn in the 10-30 yrs). On top of that, there is US\$25bn in the 1-2 year area for cash management purposes. While the entire buyback programme is actually less in size than one regular 2yr auction event, it's still chunky.

We've also made the point that these buybacks need to be subsequently re-financed. And they do. However, the important nuance here is that for any given steady-state coupon issuance rhythm (which we've had and are likely to continue to have), any additional buybacks must, by definition, be financed through extra bills issuance (as bills are the variable that the Treasury must deploy with on a fixed bond issuance programme). This morphs the impact of the additional buybacks into a structural impact on long-dated bonds outstanding, as they effectually get replaced by rolling bills issuance. It's a zero-sum game from the Treasuries perspective, but from the markets' perspective, it adds to bills issuance, and has a bigger effect through lower long-duration net issuance.

We'd maintain the view that this move is unlikely on its own to change the trajectory for long-end yields. It does mute it though. And moreover, it reminds the market that the Treasury could double the long tenor buyback sizes again, and again if needed. That's the real kicker from this move: the anticipation for more should long-dated yields decide to morph higher again in an overly sinister fashion in the days and weeks and months ahead. Given that, we'd continue to identify upward pressure on long-end yields as a dominant factor that the market will need to deal with. But muted it absolutely is.

Note that this is not quantitative easing. It is long-end buying by the Treasury, effectively financed through buying more bills. As a stand-alone factor, it places a flattening impulse on the curve, thus muting the net steepening that we continue to anticipate. We're still of the opinion that the 10yr yield has a risk factor move in it to the 4.75% to 5% zone. And for now, it's unlikely to get much below 4.5%, but one thing has become more clear from this is any move above 5% (or even the material threat thereof), would likely be actively resisted/prevented by the US Treasury Department.

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Article | 21 August 2026

COMMODITIES, FOOD & AGRI

Is gold back?

Gold has rebounded sharply from its July lows, supported by renewed investment demand and growing unease over the US fiscal outlook. But persistent inflation and the possibility of further Fed tightening mean the recovery is unlikely to be straightforward



Growing concerns over the US fiscal situation and investment demand are giving momentum to gold prices

Fiscal risks give gold fresh momentum

Gold has climbed from around \$4,000/oz in mid-July to around \$4,600/oz, returning to levels last seen in May.

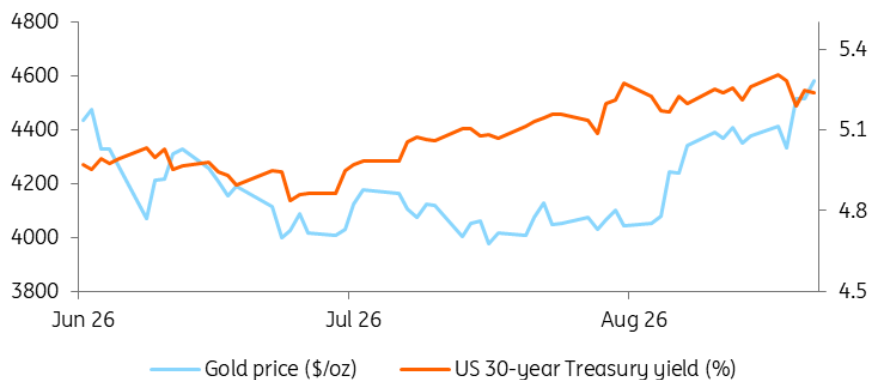
The latest move followed the US Treasury's decision to increase its purchases of longer-dated government debt. The maximum size of buyback operations in the 10-to-30-year segment will rise from \$2bn to at least \$4bn, with Treasury Secretary Scott Bessent signalling that the programme could be expanded further.

The bond-market impact proved short-lived, with long-term yields subsequently recovering much of their decline. Gold, however, continued to strengthen.

In our view, gold's resilience suggests that the rally is not simply a response to lower yields. The prospect of larger Treasury buybacks has refocused attention on government borrowing and fiscal credibility. It has also revived concerns about currency debasement, reinforcing

gold's appeal as a store of value.

Gold rebounds despite elevated long-term yields



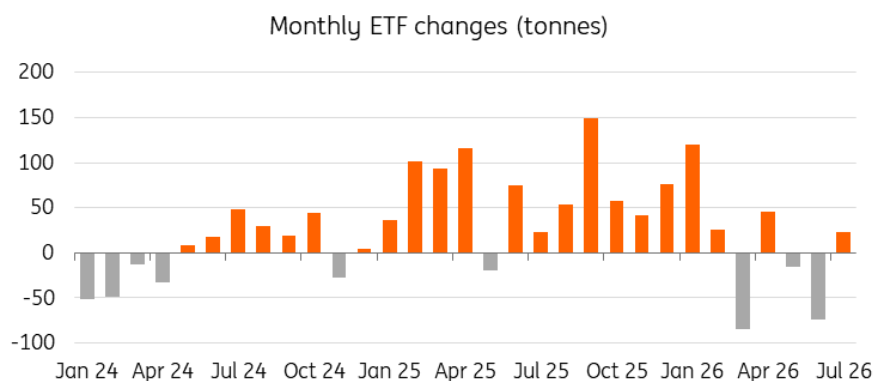
Source: Refinitiv, ING Research

A weaker dollar and lower short-term yields have helped gold rebound after prices found support around \$4,000/oz in mid-July. Softer US data have also revived expectations that the Fed could begin easing policy in 2027.

Investment demand is recovering

The improvement in ETF demand is another positive signal. Global gold-backed ETFs attracted \$3bn in July, lifting their holdings by 23 tonnes, according to the World Gold Council.

Gold ETF inflows return



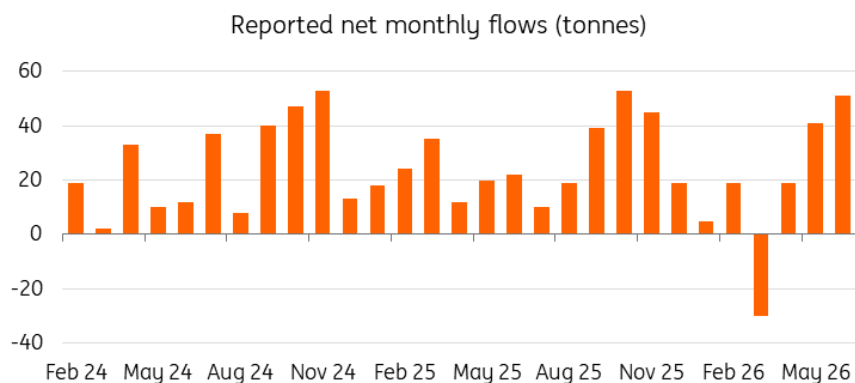
Source: WGC, ING Research

The recovery has continued into August. Funds tracked by Bloomberg added around 18 tonnes on Thursday alone, their strongest daily accumulation in almost a year.

Central banks also remain a significant source of demand. Reported net purchases reached 51

tonnes in June, taking the first-half total to 102 tonnes, with Poland and China leading the buying. We expect official-sector buying to continue supporting the market, but further gains will increasingly depend on whether Western investors maintain their renewed interest in gold.

Central bank purchases rebound



Source: WGC, ING Research

Inflation remains the main headwind

The rally still faces headwinds. Rising energy prices are adding to US price pressures and could keep monetary policy restrictive for longer.

[Minutes from the Fed's July meeting](#) showed that some policymakers favoured an immediate rate increase, while others were prepared to support further tightening if inflation remained elevated.

The Fed's annual Jackson Hole symposium from 27 to 29 August will be closely watched. Any indication that policymakers are becoming more willing to raise rates would risk lifting yields and the dollar. A greater focus on growth or financial stability would be more supportive for gold.

Upside risks to our outlook are growing

Our forecast of \$4,150/oz for the fourth quarter (average price) assumes that persistent inflation keeps US monetary policy restrictive and prevents a sustained fall in yields. However, renewed ETF buying, a weaker dollar and mounting fiscal concerns are creating increasingly clear upside risks to our outlook.

Gold's correction appears to have found a floor. Renewed ETF buying and its resilience despite elevated yields suggest the recovery is on firmer footing, but further gains will depend on whether investment demand continues to build and how the Fed responds to persistent inflation.

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CZECH REPUBLIC HUNGARY

CEE & CCA week ahead: Hungary rate decision, Polish retail sales and Czech confidence

Next week, we're looking for an expected rate cut from the National Bank of Hungary at Tuesday's meeting. Key data releases from Poland and the Czech Republic are also in focus, including retail sales, labour market figures, confidence indicators and details of second-quarter GDP prints



We're expecting Tuesday to mark the last step in the NBH's mini rate-cutting cycle, but we don't think the story will end there

Poland: Retail sales to feel the impact of higher fuel prices

Monday brings July retail sales data. The standard VAT rate on petrol and diesel (23%) was reinstated at the beginning of July following a temporary reduction to 8%. Together with another increase in crude oil prices, this pushed up retail fuel prices at the pumps. Given the relatively inelastic demand for fuel, particularly during the summer holiday season, it likely weighed on demand for other goods, as a larger share of household budgets was allocated to transport. Despite the fuel price shock, the impact on consumer demand appears to have remained limited so far, partly owing to fiscal measures that moderated the extent of price

increases at filling stations in the previous months.

Tuesday sees the release of the registered unemployment rate, which we expect to have remained unchanged from June. However, the Ministry of Family, Labour and Social Policy reported a slight increase in the number of unemployed people last month, which could result in a marginal rise in the registered unemployment rate.

Hungary: Rate cut expected as focus shifts to further easing

The final interest rate decision of the summer on Tuesday is approaching, marking the last step in the previously announced mini-rate-cut cycle. However, we are almost certain that this isn't the end of the story, and that the mini-cycle will evolve into a midi-cycle. The July inflation data clearly sets the stage for this.

At the same time, we doubt the August interest rate decision will concern anything other than the current situation. The central bank has made it quite clear on countless occasions that the decision on whether to continue the easing cycle will be made in light of the September Inflation Report. The 1.2% inflation rate in July falls outside the uncertainty range of the National Bank of Hungary's June forecast, meaning the overall inflation picture has clearly improved.

However, this is unlikely to prompt NBH Governor Mihály Varga and his colleagues to draw hasty conclusions or make premature announcements. In today's rapidly changing world, where geopolitical and global trade developments rewrite economic scenarios every 24 hours, the NBH is unlikely to commit to anything at this point. Forward guidance may, however, include a conditional statement regarding the inflation outlook that could signal continued interest rate cuts. According to our forecast, the Hungarian base rate could reach 4.75% by the end of 2026.

Czech Republic: Confidence indicators and GDP details in focus

Monday brings August consumer confidence data. We expect that it edged marginally lower in August yet remained well above its long-term average. That said, households are beginning to express concern about the impact of geopolitical unrest on the future performance of the Czech economy and potentially on their own financial position. Business confidence is set to have marginally picked up in the same month, while hovering only slightly above its long-term average values.

The driving force here is the relatively strong influx of new orders, while rising input costs remain a drag. The Statistical Office is about to confirm the 2Q26 real GDP figures, while we wonder about the resilience of consumption and fixed investment expenditure within the breakdown of a relatively soft GDP reading.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 24 August				
Poland	0830	Jul Retail Sales (YoY%)	3.3	6.2
	1300	Jul M3 Money Supply (YoY%)	11.6	11.8
Czech Rep	0800	Aug Consumer Confidence	105.2	105.6
	0800	Aug Business Confidence	100.4	100.2
	0800	Aug Composite Confidence Index	101.2	101.1
Tuesday 25 August				
Poland	0830	Jul Unemployment Rate (%)	5.8	5.8
Hungary	1300	Rate Decision (%)	5.5	5.75
Wednesday 26 August				
Russia	1700	Jul Industrial Output (YoY%)	1.6	0.6
Thursday 27 August				
Turkey	1230	Gross FX Reserves (USD bn)	75.6	71
Hungary	0730	Jun Average Gross Wages (YoY%)	8.4	8.7
Croatia	1000	Q2 GDP (YoY%)	2.4	2.2
Friday 28 August				
Turkey	0800	Jul Trade Balance (USD bn)	-7.4	-10.4
Czech Rep	0800	Q2 Final GDP (QoQ%/YoY%)	0.4/2.0	0.4/2.0
Hungary	0730	Jul Trade Balance Final (EUR mn)	1305	1305
	0730	Jul Unemployment Rate (%)	4.4	4.5

Source: Refinitiv, ING

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THINK economic and financial analysis

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FX

FX Daily: Much ado about buybacks, softer dollar

This week's US Treasury intervention in the bond market has caused much furore amongst the buy and sell-side financial community alike. We see the move more as a signalling tool that the US Treasury has a problem with high bond yields and wants to address it. For the time being, we favour this triggering a benign, risk-friendly dollar decline



Most paths lead to a weaker dollar; we prefer the pro-risk route

↓ USD: Most paths favour a softer dollar

Many commentators seem to be treating this week's US Treasury intervention in bond markets as a heinous financial crime. We prefer to take the view offered by a former US Treasury official interviewed in the Financial Times today that this was a [signalling exercise](#). Yes, these buy-back operations were originally designed to address market liquidity issues and the off-cycle nature of the adjustment has raised eyebrows. But the main takeaway has to be that higher longer-dated Treasury yields are firmly on the Treasury's radar and need to be addressed. US Treasury Secretary Scott Bessent suggested yesterday that there might be some new fiscal consolidation plans incoming. These could centre on a task force to cut back on fraud in the same way that Elon Musk's DOGE tried to cut back on government spending. Most are sceptical that this will make any dent in the near 6% budget deficit, but let's see what

is announced.

For the dollar, quite a few are comparing this week's Treasury buybacks to President Donald Trump's 'Liberation Day' tariffs and concluding this again undermines US policy credibility. During that period in April 2025, the Swiss franc, the euro and the yen led the charge against a weaker dollar. We see this week's developments less as a policy credibility story and more as a soft dollar, pro-risk story if the US Treasury is taking a greater interest in protecting the long end. That probably means a gentler dollar decline and some outperformance of high-beta commodity currencies and emerging market currencies in general. If we're wrong and Treasuries and equities start selling off hard, then the story would revert to a lower USD/CHF, higher EUR/USD and high-yield FX selling off as volatility rises.

On today's US calendar are the S&P PMI readings for August – all expecting continued expansion in activity.

DXY has support in this 98.65/70 region and will probably struggle to make it back above 99.00 now.

Chris Turner

📈 **EUR: US fiscal consolidation would be EUR/USD positive**

EUR/USD remains well supported, and, as above, we favour the kind of benign decline in the dollar that tends to float all boats. Not that anyone is expecting it, but should some true US fiscal consolidation emerge, the combination of tighter fiscal policy and looser monetary policy would be dollar-negative. Fiscal consolidation seems unlikely though, with Washington wanting to spread its pro-growth mindset to the entire G20 when finance ministers and central bank governors meet later this month.

Today's eurozone data calendar focuses on the August PMIs. For the eurozone as a whole, these are expected to indicate a continued mild expansion and one which supports another European Central Bank hike in September. There will also be focus on the ECB's Consumer Expectations Survey, where three-year inflation expectations reached 3.0% in March and are expected to remain elevated at 2.8%.

With emerging market currencies performing well, we prefer a continued gentle rise in EUR/USD. High natural gas prices remain a concern, but since the eurozone economy seems to be coping with these better now, EUR/USD can focus on the soft dollar story.

EUR/USD can consolidate in a tight 1.1670-1.1710 range today, before potentially edging higher.

Chris Turner

↓ CHF: This is not April 2025

Wednesday's US Treasury announcement on buy-backs saw USD/CHF lead the dollar lower. This recalled events of April 2025, when concerns over policy credibility hit all US classes and the dollar, while the Swiss franc was preferred. Our take on this week's events is different. We think the sharp sell-off in USD/CHF was driven by position adjustment after the June narrative of a more hawkish Fed had favoured USD/CHF longs.

If we're right that greater interest in protecting the Treasury market is more a risk-positive story, then volatility will stay low, and interest will remain firm in the carry trade. Here, we think the Swiss franc rather than the yen will increasingly become the preferred funding currency and send EUR/CHF back to 0.9400. We are encouraged by the EUR/CHF bounce back above 0.9350 since Wednesday.

Chris Turner

↑ ZAR: External environment helps rand

Our softer dollar, pro-risk environment favours high-yielding commodity currencies like the rand. The rand normally has a decent correlation with the Chinese renminbi, which is performing quite well along with large parts of Asian FX. We can see USD/ZAR pressing the April low at 15.92 and then perhaps testing the 15.75/80 area. One area of concern for the rand later this year, however, could be El Niño, where drought conditions could cause some major problems.

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ASIA WEEK AHEAD CHINA PHILIPPINES

Asia week ahead: Philippine rate decision and Singapore, China, Taiwan data

The Philippine central bank is expected to hike rates by 25bp, while data highlights include Singapore inflation, China industrial profits in Taiwan industrial production



Asia Research highlights of the week

[China's growth imbalance worsened with domestic activity slowing in July](#)

Philippines: BSP expected to hike rates by 25bp

We continue to expect the Bangko Sentral ng Pilipinas (BSP) to deliver a 25bp rate hike on Thursday, despite recent moderation in headline inflation. While CPI prints in June and July offer some reassurance that prices have peaked, underlying pressures remain elevated. Yet the central bank remains cautious for several reasons, including a recovery in Brent oil prices, food inflation remaining vulnerable to supply-side shocks and recently announced wage

increases.

Singapore: Inflation set to accelerate in July

July CPI inflation is expected to accelerate sharply, driven by electricity tariff adjustments. The pass-through of higher utility costs is likely to extend to core inflation amid increased prices for retail goods and services.

China: Industrial profits recovery in focus

China releases its July industrial profits data on Thursday. Profits have seen a solid recovery this year as sectors such as computers, communications, and electronic equipment significantly outperform thanks to the tech boom. Coal mining and oil and gas extraction had strong first half profits growth as well amid higher energy prices.

Taiwan: Industrial production growth to remain strong

Taiwan releases its July industrial production data on Tuesday. We expect another strong month of growth, thanks to strong performance from the computers, electronic and optical products and semiconductor subcategories. We look for a 23.3% year-on-year increase, broadly stable from June's growth rate.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Monday 24 August				
Singapore	1300	Jul Core CPI (YoY%)	2,2	1,6
	1300	Jul CPI (YoY%)	2,3	1,9
Taiwan	1600	Jul Unemployment Rate (%)	-	3,3
	1620	Jul M2 Money Supply (YoY%)	-	8,1
Thailand	1100	Jul Exports (YoY%)	-	20,8
	1100	Jul Imports (YoY%)	-	50,3
	1100	Jul Trade Balance (USD bn)	-	-6,5
Tuesday 25 August				
Japan	1300	Jun Leading Indicator Final	-	116,4
Hong Kong	1630	Jul Imports (YoY%)	-	45,4
	1630	Jul Exports (YoY%)	-	53,4
Taiwan	1600	Jul Industrial Output (YoY%)	23,3	23
South Korea	0500	Aug Consumer Confidence	-	106,8
Wednesday 26 August				
India	1930	M3 Money Supply (YoY%)	-	14,7
Singapore	1300	Jul Industrial Output (MoM%/YoY%)	-/-	-7.2/7.2
Thailand	1500	Rate Decision (%)	-	1
Thursday 27 August				
Philippines	1300	Jul Budget Balance (PHP bn)	-	-264,3
	1500	Rate Decision (%)	5	4,75
South Korea	0900	Rate Decision (%)	CF: 3	2,75
China	0930	Industrial profits (YoY%)	-	15,1
Philippines	1430	Rate Decision (%)	5	4,75
Friday 28 August				
Japan	0730	Aug Tokyo Core CPI (YoY%)	CF: 1,7	1,9
	0730	Aug Tokyo CPI (YoY%)	CF: 1,9	2
	0730	Jul Unemployment Rate (%)	-	2,5
India	1830	Jul Industrial Output (YoY%)	-	7,3
	1930	FX Reserves (USD bn)	-	707
Malaysia	1500	Jul M3 Money Supply (YoY%)	-	6,7
Philippines	0900	Jul Imports (YoY%)	-	19,6
	0900	Jul Exports (YoY%)	-	24,1
	0900	Jul Trade Balance (USD bn)	-	-4,9
Thailand	1200	Jul Industrial Output (YoY%)	-	-3,1

Note : CF = Market consensus forecast data

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Article | 20 August 2026

RATES SPARK

Rates Spark: Data for the EUR belly

The latest volatility in long-end US yields has left the EUR side largely unimpressed. But we look to Friday's data, not so much to challenge the near-term hike discount, but with regard to whether the European Central Bank will be able to back track its tightening in any meaningful way further down the road



Any downside surprise to the eurozone PMIs could help the belly of the curve recover somewhat

With markets firm on upcoming ECB hikes, data might impact the belly more

While US 10y Treasuries have spanned a range of more than 11bp over the past three sessions, 10y Bund yields have remained remarkably sticky just above the 3.25% level, spanning a range of merely 3bp.

While certainly there has been a focus on the US side of things around the US Treasuries actions, it is also partly down to an absence of EUR specific data and events. The picking up of issuance and ongoing concerns around energy and geopolitics are factors to explain elevated yields if we had to lay a finger on it, but they have not really added volatility looking at the traded ranges.

There has been somewhat more movement on the front end, and if anything, this is where the end of the week could now see more volatility with the release of the flash PMIs, and the ECB's consumer inflation expectations survey. The consensus points to marginal weakening in the PMIs, but not to the degree that would really challenge the current rate hike discount. Any

downside surprise, though, might help the belly of the curve recover somewhat.

What we have seen since the summer is that data on balance has come in better despite the challenging backdrop. Alongside persistent energy concerns, this has helped put relatively more upward pressure on the belly of the curve. By now, the market has basically shed its hopes for any meaningful backtracking of the ECB tightening further down the road – the 1m OIS out 2 years is at the same level as 1m OIS out 1 year. Since around mid-March, the 2y forward had been consistently below the 1y forward apart from three very brief episodes.

Friday's events and market view

The data calendar is busier as the market eyes the release of the flash PMIs. In the eurozone, the consensus is looking for a marginal drop in the composite from 52 to 51.7, which would still leave it in expansionary territory. In terms of other releases for the eurozone, consumer confidence in August, surveyed by the Commission, is seen remaining at subdued levels. Consumer inflation expectations for July, surveyed by the ECB, are seen unchanged at 3% over the 3-year horizon. Second quarter negotiated wages in the eurozone are seen somewhat lower at 2.4%.

In the US we will also be watching the PMIs. While seen weakening as well, they are still more solidly in expansionary territory with the composite index only seen coming down to 53.9.

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Article | 20 August 2026

FX

FX Daily: Introducing the Bessent Put in Treasuries

For many years, the market spoke of a Greenspan Put in equity markets, where investors were protected from much lower stock prices by the assumption that the Fed would cut rates. Yesterday's intervention in the Treasury market suggests the recent rise in longer-dated yields has touched a raw nerve. Risk assets are enjoying this more activist US Treasury



Washington's intervention in the bond market is welcomed by risk assets and is weighing on the dollar

↓ USD: Investors greet a more interventionist Treasury

While increasing liquidity buy-back operations by \$2bn might seem like rearranging deckchairs on the Titanic given the US national debt of \$40tr, yesterday's intervention by the US Treasury has been warmly greeted by investors around the world. As ING's Padhraic Garvey [writes](#), this [unscheduled announcement](#) tells us the Treasury's displeasure with the recent sell-off at the long end of the bond market. Clearly, a more structural solution such as fiscal consolidation is required for a more sustainable recovery in the bond market, but news that the US Treasury is going to be more vigilant about the long end has been welcomed.

The 10bp drop in longer-dated US yields has lifted equities and seen the dollar soften,

especially against high-beta currencies such as the Norwegian krone, New Zealand dollar and Swedish krona. The Bessent Put – or someone to watch over the US Treasury market – reduces one of the key threats to risk assets this summer and should see carry trade strategies remaining popular.

At the same time, the [minutes of the July FOMC meeting](#) were not particularly hawkish and short-dated US yields actually fell 5bp after the release. This all leaves the dollar in a flat/lower pattern consistent with a 'Risk-on, Dollar-off' investment environment – EMFX typically does well at times like these.

For today, the US data calendar is light, and we will hear from two Federal Reserve hawks: Mary Daly, who voted for a hike in July, and Alberto Musalem, a non-voter.

DXY unexpectedly broke down from its 99.40-100.00 range yesterday and can probably drift lower to 98.65. The next stop would be 98.00 should risk assets build another leg higher on this more activist US Treasury.

Chris Turner

↑ **EUR: Pro-cyclical currencies get a boost**

EUR/USD broke higher yesterday on the US Treasury news, which could usher in a slightly more encouraging, or at least stable, investment environment. Ever-higher natural gas prices in Europe remain a worry, but investors are thinking about another bearish dollar leg emerging, with EUR/USD playing its part.

Behind the scenes, foreigners are also buying a lot of eurozone debt and equities. Data released by the European Central Bank yesterday showed that foreigners have bought around €1.1tr of eurozone securities over the last 12 months. And June saw the largest ever monthly purchases of debt at €200bn. Thus, the bullish euro narrative of diversification away from the US remains present.

Yesterday's US intervention has brought EUR/USD close to our end-September target of 1.17. Resistance at 1.1700 may be a tough nut to crack in the short term, but if so, 1.1790 beckons. Support may be found as close as 1.1650/60. Also, a reminder that we consider European asset managers [underhedged](#) on their US investments.

Chris Turner

→ **SEK: Riksbank unlikely to turn too hawkish**

Sweden's Riksbank meets to discuss interest rate policy today. No change is expected to the 1.75% policy rate. There is no new Monetary Policy Report and therefore no new forecasts. This probably means that June's assumption of a rate hike towards the end of the year remains

valid. The market prices a 25bp hike for the November meeting.

It is not clear that the Riksbank needs to sound a lot more hawkish today – and doing so would be a surprise given the September meeting is priced at just a 40% chance of a hike. While a pro-risk environment is good for the krona, its risk-adjusted carry is quite low by G10 standards, and we doubt it should lead the charge against a weaker dollar. Overall, we have a 10.90 EUR/SEK target for end-September, but doubt EUR/SEK needs to move much today.

Chris Turner

CNY: Authorities happy to allow a stronger yuan

USD/CNY continues to trade lower as authorities deliver lower fixings and the yuan participates in this mini-renaissance for Asian FX. We discussed the Korean won in this space [yesterday](#). The onshore USD/CNY is trading at its lowest levels since February 2023 and looks intent to test the 6.69 area, which we see as the lower end of this year's trading range. Driving these yuan gains, we presume, are Chinese exporters who have found increasing confidence in the yuan while losing confidence in the dollar.

The move will be well appreciated by the US Treasury as part of the [Mar-a-Lago mindset](#).

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Article | 20 August 2026

COMMODITIES DAILY

The Commodities Feed: Oil advances as US tightens pressure on Iran

Oil prices extended their rally amid growing concerns over tighter US sanctions on Iran



The EIA's latest weekly inventory report showed US commercial crude oil inventories rising for the third consecutive week, marking the highest level since May

Energy – EIA reports surprise increase in crude inventories

Oil extended its rally for a fifth consecutive day after US President Donald Trump announced measures to intensify economic pressure on Iran. ICE Brent climbed above \$92/bbl, while NYMEX WTI traded above \$86/bbl on Thursday morning, supported by concerns over tighter sanctions enforcement. Trump also warned of tougher economic penalties for entities supporting Iranian economic activities, signalling a further escalation in US efforts to isolate Iran.

The EIA's latest weekly inventory report showed US commercial crude oil inventories increased by 4.4m barrels to 428.8m barrels, marking a third consecutive weekly build and the highest level since May. This contrasted sharply with API's reported 328k barrel draw and market expectations for a 74k barrel decline. Meanwhile, the Strategic Petroleum Reserve fell by 5.3m barrels, leaving total US crude oil inventories down by a modest 0.9m barrels.

The commercial stock build was driven by higher domestic supply despite strong export

demand and lower imports. Crude exports rose by 1.01m b/d week-on-week to 4.07m b/d, while imports fell by 746k b/d to 6.59m b/d. Refinery activity remained robust, with crude throughput increasing by 216k b/d and utilisation rates rising to 97.2%, close to seasonal highs. Strong refining margins continue to incentivise refiners to maximise run rates.

Refined product inventories showed a mixed picture. Gasoline stocks increased by 0.69m barrels to 209.4m barrels, while distillate inventories fell by 1.5m barrels to 105.6m barrels. The decline in distillate stocks was driven by lower imports and reduced domestic production, tightening supply in the US market. Middle distillate markets remain relatively tight, supported by resilient international demand and ongoing supply constraints across key exporting regions.

Metals – Copper squeeze eases as LME stocks rise

Tightness in the copper market eased after more than 35kt of metal was added to available LME inventories yesterday, following an increase of over 20kt in the previous session. The cash-to-three-month spread narrowed to a backwardation of \$176/t, from as much as \$545/t on Monday. However, continued tightness at the very front of the curve suggests the squeeze has not fully run its course. The market remains vulnerable after months of inventory outflows, driven partly by the diversion of metal to the US ahead of expected tariffs. We expect copper prices to remain supported by tight physical supply, although further inventory inflows could ease near-term pressure and trigger additional volatility.

Meanwhile, data from China's National Bureau of Statistics showed refined copper production rose 1.3% year-on-year to 1.3Mt in July, supported by higher sulphuric acid by-product prices, which boosted smelter margins and encouraged increased operating rates. Elsewhere in the base metals complex, lead output fell 7.3% YoY to 580kt, while zinc production edged down 0.8% YoY to 629kt over the same period.

The US and Canada are reportedly discussing cutting tariffs on certain Canadian aluminium and steel shipments to 25% from 50% as part of a tentative trade deal. Details remain under negotiation, including possible exemptions and product-specific rates.

The move would offer some relief to US aluminium consumers. Canada is the largest supplier of primary aluminium to the US, which remains heavily reliant on imports to meet demand. A lower tariff should put downward pressure on the US Midwest premium and reduce costs for downstream manufacturers, although tight global supply and uncertainty over the deal's scope may limit the decline. Canadian steel would also become more competitive in the US, potentially weighing on domestic steel prices.

Agriculture – White sugar premium hits multi-year high amid supply concerns

The white-to-raw sugar premium widened to around US\$154/t, its highest level since March 2024, reflecting increasingly tight supply conditions. Both raw and white sugar prices strengthened after reports that India could cut or remove its 100% sugar import duty to boost domestic availability. Concerns over supply have intensified as monsoon rainfall during the June-September period is running 13% below average. White sugar has also outperformed raw sugar, supporting refining margins, amid weather-related declines in European beet sugar production.

In addition, disruptions in the Strait of Hormuz have constrained refining activity in the Middle East, while higher energy and freight costs have provided further support to white sugar prices.

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Article | 20 August 2026

POLAND

Poland's economy enters the third quarter on an uneven footing

Poland's economy ended 2Q26 on a strong footing, but July brought a softer picture of activity. Solid industrial performance was accompanied by a surprising decline in construction output. We think the peak of the current economic cycle may already be behind us, but we still expect robust growth in the second half of the year and GDP to expand by 3.4% in 2026



Poland's growth may have peaked in the second quarter, but we still expect GDP growth of 3.4% in 2026

Industry continues to perform strongly

Industrial output increased by 5.1% year-on-year in July, slightly exceeding market expectations. Growth was nevertheless weaker than in June, when output rose by 7.4% YoY, supported by a favourable calendar effect and a low reference base in many manufacturing divisions.

Production of capital goods increased at a double-digit pace, rising by 11.1% YoY, while intermediate goods output also recorded strong growth of 6.3% YoY. This points to solid investment momentum as projects financed under the National Recovery and Resilience Plan continue to gather pace.

Particularly strong growth was reported in the manufacture of other transport equipment, where output rose by 31.5% YoY. Production of computer, electronic and optical products increased by 21.0% YoY, while the manufacture of machinery and equipment expanded by 17.3%.

Declines were recorded in the manufacture of tobacco products, down 10.6% YoY, furniture, down 3.3%, and textiles, down 2.5%. The furniture and textile industries have come under increasing pressure from Asian imports in recent quarters.

Construction activity less compelling

The positive picture from industry was somewhat undermined by disappointing construction data, with output falling by 2.4% YoY in July. In June, declines in building construction and specialised construction activities were more than offset by surging civil engineering output. In July, however, activity weakened across the board, with output falling in all three main construction segments.

This picture appears inconsistent with the signs of strengthening investment activity suggested by the composition of industrial production and rising expenditure under the National Recovery and Resilience Plan. Statistics Poland indicated that the July figures were distorted by the irregular timing of post-completion settlements, which could provide a boost to output data in the coming months.

The peak of the cycle may be behind us, but solid growth should continue

Somewhat surprisingly, despite continued geopolitical tension in the Middle East, second quarter 2026 may have marked the peak of the current economic cycle. Matching the quarter's 3.8% YoY GDP growth rate could prove difficult over the coming quarters. Nevertheless, we still expect GDP growth to run at around 3% YoY in the second half of 2026, resulting in full-year economic growth of 3.4%.

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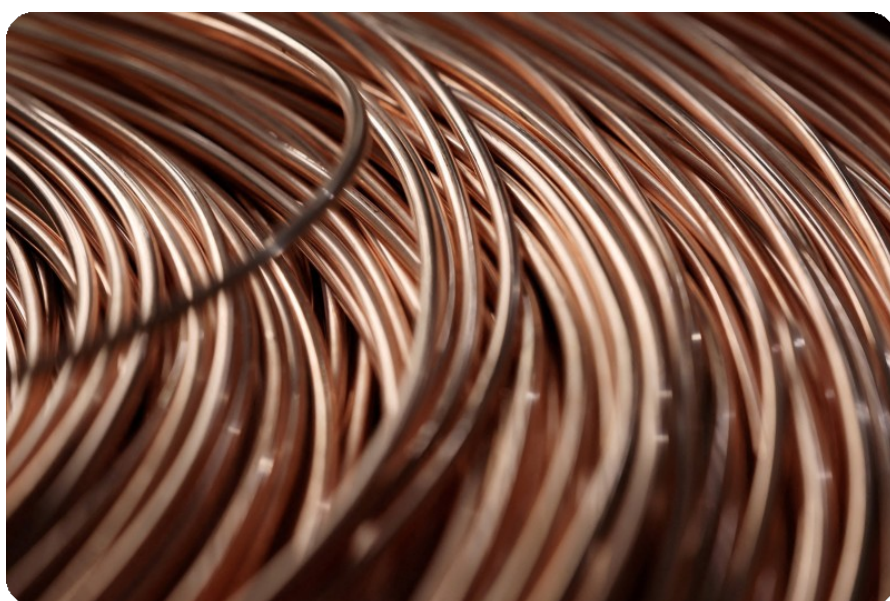
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Article | 7 August 2026

COMMODITIES, FOOD & AGRI

Could copper lose its tariff premium?

Copper has rallied sharply on expectations of US import tariffs, as traders rush metal into the US and physical markets tighten. With prices back near record highs, any policy disappointment could put that tariff premium to the test



Monthly US copper imports surged to a 12-year high of more than 200,000 tonnes in July ahead of potential tariffs

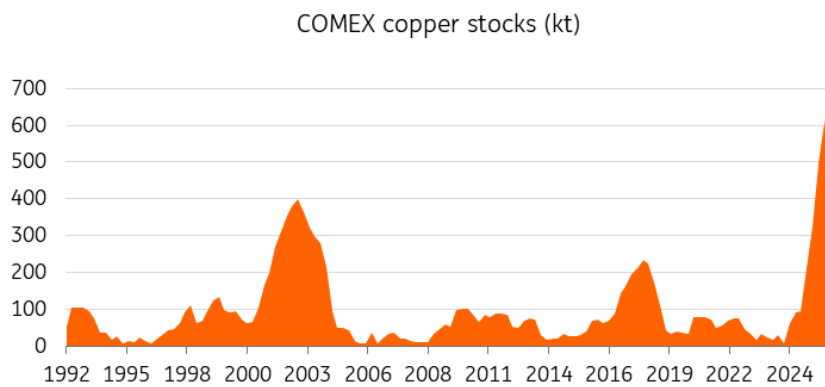
Copper is trading above \$14,000/t, close to its record high. At the same time, LME inventories have fallen further, and the cash-to-three-month spread has moved deeper into backwardation, highlighting increasingly tight physical market conditions.

In our June note, [What's next for US copper import tariffs?](#), we examined the possible policy outcomes. Since then, traders have continued to position for potential tariffs, with the impact becoming increasingly visible in trade flows, inventories and physical market indicators.

Tariff expectations remain a key market driver

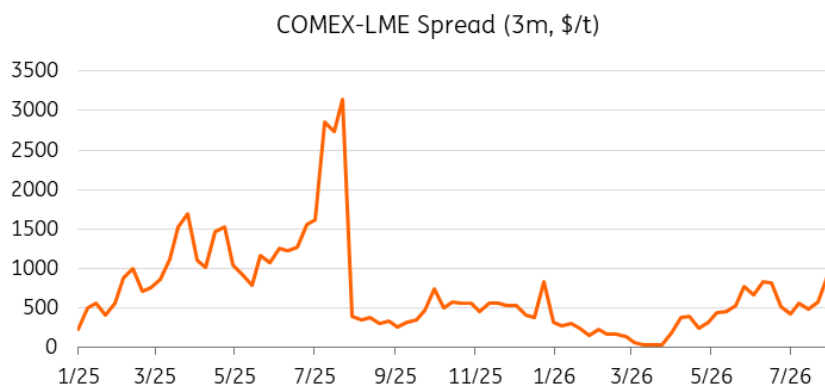
Copper shipments into the US have accelerated ahead of a potential tariff decision, pushing COMEX inventories to a record high. US copper imports exceeded 200,000 tonnes in July alone – the highest monthly level in at least 12 years.

COMEX inventories reach record highs



Source: COMEX, ING Research

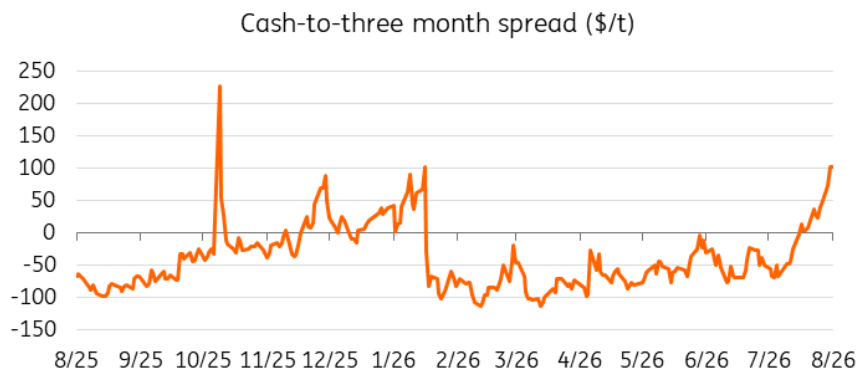
Wide COMEX-LME spread continues to attract copper into the US



Source: COMEX, LME, ING Research

At the same time, the London copper market is showing increasing signs of tightness. LME inventories have fallen to a five-month low, while the cash-to-three-month spread has widened to around \$120/t backwardation – up from about \$40 a week ago and the widest since October, pointing to a squeeze on short-term supplies.

Nearby copper market tightens



Source: LME, ING Research

LME inventories continue to decline



Source: LME, ING Research

Can tariff expectations continue to drive prices?

The recent rally is not solely tariff-driven, however.

Mine supply growth remains constrained, while low treatment charges continue to point to tight concentrate availability. Demand linked to electrification, power grid investment and AI infrastructure also remains supportive. We continue to expect the global refined copper market to record a deficit of around 35k tonnes in 2026.

Much of the recent rally reflects expectations that tariffs will be implemented broadly as expected. But if the final measures are delayed, narrower than expected or exempt refined copper, part of the recent rally could unwind. Stockpiling into the US would slow, inventory flows would begin to normalise, and some of the current tightness outside the US would ease. Any correction could be amplified if investors unwind positions built on tariff expectations.

The tariff decision is only part of the story

The prospect of US tariffs has already reshaped the copper market. Inventory flows have shifted, physical conditions have tightened, and prices have moved back towards record highs.

Much of that repricing has already happened. Once the tariff decision is announced, the market's focus is likely to shift back to underlying fundamentals.

That would not necessarily change the broader outlook for copper. Any correction would be more likely to reflect a reassessment of tariff expectations than a deterioration in the underlying fundamentals.

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